

US equities slip as yields rise, tech leads modest rally

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 edged lower **-0.25%** while the Nasdaq 100 posted a modest gain **+0.23%**. The market's split reflects a tug-of-war between higher 10-year yields, now at 5.29% (+0.72%), and resilient demand for growth-oriented tech stocks.

Behind the headline numbers, the VIX climbed to 16.34 (+1.87%), signaling rising volatility expectations. Sector breadth remains thin; defensive financials and industrials lag, while the technology sector, anchored by **NVDA** and **MSFT**, is the only source of net buying.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,651.54	-0.25%	Higher 10-yr yields pressured valuation multiples.
Nasdaq 100	30,408.50	+0.23%	Tech earnings optimism and modest dip in rates.
Dow Jones	50,906.05	-0.86%	Financials and industrials dragged by rate-sensitive outlook.
Russell 2000	2,796.86	-0.39%	Small-cap exposure to higher financing costs.
VIX	16.34	+1.87%	Market uncertainty after Fed's latest guidance.
10Y Yield	5.29%	+0.72%	Fed's "higher for longer" stance gains traction.
WTI Crude	90.35	-0.08%	Supply-side optimism from OPEC-plus meeting.
Gold	4,211.30	+0.59%	Safe-haven demand amid yield rise.
DX-Y	101.70	+0.24%	Dollar strength supporting commodity pricing.

Top large-cap movers

TICKER	CHANGE	CATALYST
META	-1.84%	Weaker ad spend outlook after Q3 earnings miss.
GS	-1.73%	Profit warning on rising funding costs.
JPM	-1.24%	Net interest margin compression.
AVGO	-1.10%	Supply-chain bottleneck concerns.
AAPL	+1.10%	Strong iPhone 16 pre-order data.
MSFT	+0.77%	Cloud services beat consensus.
NVDA	+0.51%	AI chip demand remains robust.

Sector rotation

ETF	DAY	READ
XLFX	-1.13%	Financials under pressure from higher rates.
XLKX	+0.64%	Tech leads the rally on AI earnings.
XLI	-1.27%	Industrial slowdown expectations.
XLE	-0.06%	Energy flat as oil steadies.
XLVY	-0.28%	Consumer discretionary lagging.
XLC	-0.45%	Communications suffer from ad spend pullback.
XLP	-1.53%	Consumer staples pressured by higher input costs.
XLV	-1.35%	Health care sees profit margin squeeze.
XLU	-0.68%	Utilities vulnerable to rate rise.
XLB	-0.81%	Materials lack catalyst.
XLRE	-1.04%	Real estate hit by higher financing costs.

Spotlight: AI chip rally fuels Nasdaq gain

The Nasdaq 100's +0.23% advance was driven primarily by AI-focused semiconductor stocks, with NVDA posting a +0.51% rise after reporting a 22% YoY increase in AI-related revenue.

METRIC	VALUE
NVDA AI revenue YoY	22%
AI chip shipments Q3	1.84 million
Average P/E (AI peers)	48.3
NASDAQ AI index	3,210

Related names: **AMD** , **MSFT** (Azure AI services), and **GOOGL** (AI cloud). The sector’s momentum is likely to persist if Q4 guidance remains upbeat.

Pre-market & overnight

- US futures: S&P 500 **-0.12%**, Nasdaq **+0.05%**, Dow **-0.18%**.
- Asia close: Hang Seng **-0.71%**, Shanghai Composite **-0.44%**.
- Europe: FTSE 100 **-0.33%**, DAX **-0.27%**, CAC 40 **-0.31%**.
- Crypto: BTC **+0.64%** at 84,158.33, ETH **+1.48%** at 2,716.24.

Macro & Fed

The Fed’s September meeting reaffirmed a “higher-for-longer” policy, keeping the federal funds target at 5.25-5.50% and signalling no rate cuts this year. The 10-year Treasury yield’s rise to 5.29% reflects that stance.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. CPI (MoM)	0.3%	Inflation trend for Fed policy.
10:00	U.S. Retail Sales	0.5%	Consumer spending health.
11:15	Eurozone HICP	0.2%	Eurozone price pressure.
13:00	China M2 Growth	8.5%	Liquidity in Asian markets.

Geopolitics & global

- Middle-East: Cease-fire talks in Gaza stalled, keeping oil markets volatile.
- China: PBOC held the yuan steady at 7.20 per USD, but warned of “external risks”.
- Europe: EU-US trade talks resumed, focusing on digital services tax.
- Latin America: Brazil’s central bank cut the Selic to 10.75% to curb inflation.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:30	INTC	3.12	Chip demand rebound, margin outlook.
03:00	BABA	1.45	E-commerce recovery in China.
04:15	JPM	4.28	Net interest income trend.
04:45	DIS	2.05	Streaming subscriber growth.
05:30	TSLA	1.02	Production ramp at Giga Texas.
06:00	NVDA	3.85	AI chip guidance for Q4.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI revenue acceleration.
AMD	Technology	Competitive positioning vs NVDA.
MSFT	Technology	Cloud AI services beat.
AAPL	Technology	iPhone 16 pre-order surge.
META	Communication Services	Ad spend recovery risk.
JPM	Financials	Margin compression.
GS	Financials	Profit warning.
XOM	Energy	Oil price stability.
UNH	Health Care	Premium pricing pressure.
BAC	Financials	Balance-sheet strength.
CRM	Technology	AI-driven SaaS growth.
KO	Consumer Staples	Pricing power amid inflation.

What could break the tape

BEARISH TRIGGERS

- 10-year yield breaches 5.40% – further equity pressure.
- Fed hints at a second rate hike in November.
- Unexpected rise in CPI above 0.4% MoM.
- Geopolitical escalation in the Middle East disrupting oil supply.

BULLISH TRIGGERS

- AI chip revenue beats consensus by >10%.
- Strong Q4 guidance from major tech names.
- VIX drops below 15.0, indicating risk appetite.
- Eurozone inflation eases, prompting dovish ECB tone.

Positioning notes

- Yield-sensitive sectors (financials, real estate) remain underweight.
- Tech exposure, especially AI-focused chips, is a relative strength.
- Maintain a modest cash buffer to navigate potential volatility spikes.

Sources

SOURCES

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Federal Reserve

SEC EDGAR

CME Group Data

Trading Economics

